

Asterglen Answer to Copper Counterclaim

Filed: April 21, 2025 District ECF No. 10 Civil Action No. SYN-NDWV-25-CV-0618

United States District Court for the Northern District of West Virginia

Pleading designation: Asterglen's response to Copper Kestrel's original counterclaim.

Asterglen Freight Software, Inc., Plaintiff and Counterclaim Defendant, v. Copper Kestrel Logistics, LLC and Meridian Silt Holdings, LLC, Defendants.

Asterglen answers Copper Kestrel's counterclaim. Allegations not expressly admitted are denied.

1. Asterglen admits Copper was the customer and Asterglen was the licensor under the Pilot License signed April 15, 2024. The agreement speaks for itself.
2. Asterglen admits the original written scope covered twelve terminals. Asterglen also admits Copper sent a June 3 proposal concerning twenty-nine additional terminals, but states the proposal remained unsigned.
3. Asterglen admits sending written load-test conditions on June 10 and provisioning identifiers that allowed a controlled evaluation. It denies authorizing unrestricted operational use.
4. Asterglen admits that forty-one identifiers had been provisioned by July 1. It denies that technical provisioning conferred a license for every associated terminal.
5. Asterglen admits a July 8 call occurred. It denies stating that Copper could move the proposed terminals into general production.

Responses Concerning Notice and Cure

6. Asterglen admits completing a compliance audit dated July 18. It denies that Copper's explanation resolved the activity identified in the audit.
7. Asterglen admits Copper stated that a reduction to twelve terminals could be accomplished within three business days. Asterglen lacked assurance that the proposed steps would remedy all consequences of the alleged breach.
8. Asterglen admits sending a termination and \$480,000 demand on July 22. It further admits the notice did not allow fifteen calendar days, or any lesser number of cure days, before its stated effective time.
9. Asterglen denies that the alleged conduct was readily and completely remediable. Unauthorized use, consumption of services, and loss of licensing control could not all be undone by changing a configuration count.
10. Asterglen admits Section 9.2 contains a written notice and cure procedure for a remediable breach. It denies Copper's conclusion that the provision applies identically to every ground stated in the July 22 communication.
11. Asterglen denies preventing Copper from preserving records or identifying active environments. It admits that access restrictions followed termination but denies those restrictions caused the alleged \$120,000 loss.
12. Asterglen denies that Copper obtained any right to continue disputed use while asserting cure. Any corrective proposal had to address the full breach and be supported by verifiable information.

Responses Concerning Claimed Loss

13. Asterglen denies breaching the Pilot License. The July 22 action followed conduct Asterglen considered material, deliberate, and outside the written scope.
14. Asterglen lacks knowledge sufficient to admit Copper's alleged emergency dispatch labor or temporary-routing expense and therefore denies that those charges resulted from any act by Asterglen.
15. Asterglen likewise lacks knowledge concerning customer credits or technical restoration and validation charges and denies that such items were caused by termination rather than Copper's own operational choices.
16. Asterglen denies that Copper is entitled to \$120,000. The alleged amounts require proof of payment, reasonableness, foreseeability, causation, and compliance with any contractual limitation.
17. Asterglen admits that Copper offered a reduction plan after receiving the notice. It denies Copper took every reasonable step to mitigate, because Copper had been aware of the written conditions before the audit.
18. Asterglen denies that an unsigned proposed change order establishes the value of disputed activity. Asterglen's own damages claim arises from alleged breach and loss, not enforcement of that proposal as an executed amendment.
19. Asterglen denies Copper is entitled to a declaration, setoff, interest, costs, or further relief. Any adjustment must await proof of both sides' claims and must preserve Asterglen's right to recover distinct injury.

Additional Responses

20. Asterglen admits the counterclaim forms part of the same case or controversy as Count I. It denies that procedural relatedness establishes Copper's substantive allegations.
21. Asterglen admits the parties' accounts of July 8 differ. Asterglen's understanding was that any continued activity remained confined to the June 10 written load-test conditions.
22. Asterglen admits Meridian Silt performed integration tasks under a separate agreement with Copper. Asterglen denies those tasks enlarged Copper's contractual permission.
23. Asterglen denies that its monitoring or ability to observe technical events constituted consent. Detection and investigation of activity cannot reasonably be treated as a permanent license change.
24. Asterglen states that Section 9.2 must be interpreted with the agreement as a whole, including scope controls, use restrictions, change procedure, and provisions addressing conduct not capable of full cure.
25. Asterglen denies that every component of the July 22 decision rested on a single configuration condition. The audit also raised issues about completed use and adherence to written controls.
26. Asterglen admits immediate termination affected the parties' operations. It denies that Copper's asserted transition costs were unavoidable or within the recoverable contemplation of the parties.
27. Asterglen reserves its right to seek discovery concerning terminal status, customer credits, substitute services, mitigation, and the basis for the three-business-day estimate.

Affirmative Defenses to Counterclaim

First, Copper fails to state a claim because the July 22 action was authorized by the agreement and the nature of the conduct, as Asterglen understands those matters.

Second, Section 9.2 did not require a cure opportunity for consequences already incurred or conduct that could not be fully remedied by prospective reduction. Alternatively, compliance was excused by repudiation, prevention, or futility.

Third, Copper's own acts caused or contributed to its claimed loss. Copper controlled its routing choices, its relationship with Meridian Silt, and communications with its customers.

Fourth, Copper failed to mitigate before and after July 22 despite knowing the original license covered twelve terminals and the proposed expansion was unsigned.

Fifth, the requested amounts are uncertain, unforeseeable, or limited by the Pilot License. Copper must establish that claimed expenses were actually incurred and were commercially reasonable.

Sixth, Asterglen is entitled to recoupment or setoff for proven obligations Copper owes under Count I, although Asterglen does not concede that Copper has any affirmative recovery.

Seventh, waiver and estoppel bar Copper from relying on permissions broader than the written conditions it received. Asterglen will amend these defenses if discovery supplies a proper basis.

Prayer and Jury Demand

Asterglen requests dismissal of Copper's counterclaim with prejudice, entry of judgment that Copper take nothing, and an award of recoverable costs. In the alternative, any amount established on the counterclaim should be offset against Asterglen's contract recovery to the extent the law permits and should exclude losses caused by Copper or by independent business decisions.

Asterglen demands a jury trial on disputed issues triable by jury. Those issues include what permission was communicated on July 8, whether identified activity was merely technical testing, whether the stated breach was capable of complete cure, whether Section 9.2 governed the July 22 action, and whether Copper incurred its claimed interruption and restoration costs because of termination. Asterglen does not consent to treating provisioning of forty-one identifiers as conclusive proof of contractual authorization.

This Answer responds to the counterclaim filed with District ECF No. 8. Asterglen relies on the Pilot License already filed as District ECF No. 1-1 and reserves all objections to the meaning, admissibility, or completeness of other attachments. Nothing here withdraws the allegations in Asterglen's Complaint or concedes the merits of Meridian Silt's defenses.

Respectfully submitted on April 21, 2025.

Counsel for Asterglen Freight Software, Inc. Authorized counsel designation